



Global AI Trend Tracker

Global Markets Research
12 August 2026

EQUITY: TECHNOLOGY

Read-through on LITE results Quick Note

Lumentum (LITE US, Not rated) reported its June quarter results on 12 August after US market close. Management discussed product development progress and supply-demand for EML (Electro-absorption Modulated Laser) and CW (Continuous Wave) laser, NPO (Near Packaged Optics) and OCS (Optical Circuit Switch). From the earnings call, we think the demand for both 100G/200G EML and high-power CW lasers remains robust in FY26-27F, with unchanged supply-demand imbalance. We think the shortage of optical chips globally should offer an opportunity for Yuanjie Technology (688498 CH, Buy) to gain global market share in optical laser chips. Moreover, the shortage of optical chips also validates a continued uptrend for the optical transceiver market in FY26-27F, while technology upgrades (800G to 1.6T and SiPh) and component shortages should benefit market leaders, i.e., InnoLight (300308 CH, Buy), who has strong execution on supply chain management, in our view. In addition, we think NPO should be an incremental opportunity for the optical communication sector, which is beneficial to Yuanjie, Innolight and TFC (300394 CH, Buy), in our view.

Company performance and guidance

- 4QFY26 revenue surged 109% y-y to USD1.01bn, driven by scale out and scale up across product lines.
- Components revenue in 4QFY26 was USD649mn, reflecting 22% q-q and 103% y-y growth, with laser portfolio continuing to demonstrate strong momentum across every sector. Shipments of narrow-line width laser assemblies grew over 130% y-y.
- Pump laser shipments grew 80% y-y, and management expects a **4x increase over the next several quarters**, remaining effectively 'sold out' despite its rapid capacity expansion. The company holds a **market share of 70-80% in pump lasers** and has a technology roadmap to increase price and output.
- For laser chips, the company delivered another record-breaking quarter for EMLs, primarily driven by strong demand for 100G devices. Momentum for **200G EMLs** is also accelerating rapidly, now **accounting for over 25% of total EML revenue**.
- 4QFY26 systems revenue reached USD357mn, representing a 30% q-q and 123% y-y increase, driven by both cloud transceivers and OCS. For cloud transceivers, LITE achieved record 800G shipments while **initiating production of 1.6T modules**.
- Management expects the **1.6T transceiver uptake to intensify starting in 1QFY27E, and sustain through calendar 2027E**.
- Management anticipates 1QFY27E net revenue to be USD1.225-1.275bn, with the USD1.25bn midpoint reflecting over 130% y-y growth.

EML and CW laser: strong demand signal for both EML and CW lasers in 2H26E and 2027E

- Management expects demand for **both EML and CW lasers to grow significantly in 2H26E and 2027E**. To capture the coming 200G/300G EML opportunities, LITE is **expanding capacity across two Indium phosphide (InP) wafer fabs in Japan**.
- The company remains on track to deliver over **50% y-y EML unit growth by the December-2026 quarter**, while the company is allocating additional capacity to CW lasers.

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- Management still sees a significant supply-demand imbalance in CW and EMLs lasers.
- Management remains confident in a demand ramp-up for ultra-high power laser chips in 2H27E, ahead of customer scale-up deployments in 2028E.
- Management noted CW lasers are capturing a significant portion of transceiver output, particularly for 1.6T silicon photonics applications, while EMLs are anticipated to regain meaningful share at 3.2T.
- The die size of CW lasers has been significantly reduced, improving performance and allowing for a considerable closing of the margin gap with EMLs, though EMLs remain better.
- Both 200G EML and CW lasers are accretive to corporate margins, with **200G EMLs currently representing 25% of the mix margin and projected to exceed 50% by mid-2027E**.

InP: locked additional InP substrate from AXT

- Management noted that the demand for ultra-high-power lasers has surprisingly surged, necessitating additional Indium phosphide substrate supply. Lumentum has **secured additional substrate help from AXT (AXTI US, Not rated)** to respond to this surge in demand.
- The company is actively seeking to sign long-term agreements for more capacity at its Greensboro facility, with potential new arrangements expected in the coming quarters.

NPO: projected to be largely commercialized in late 2027E-2028E

- The part of **customer base is currently prioritizing near packaged architectures (NPO)** as an intermediate step to the eventual adoption of CPO.
- Management noted NPO is an incremental opportunity not fully factored into prior financial targets, which significantly increasing the optical TAM.
- Customers are evaluating two types of laser chips for NPO, a mid-power laser integrated directly with the optical engine, and a high-power laser used in an external light source (ELS) module.
- LITE were recently given first ELS module purchase for delivery by 2H27.
- The timing for NPO opportunities is similar to the lead CPO customer's scale-up, with high-powered laser types expected sooner, and NPO is projected to reach the market in late 2027E-2028E.
- The family of NPO and CPO lasers utilizes common design and process know-how to achieve industry-leading efficiency across 120-milliwatt, 150-milliwatt, and 400-milliwatt output levels.

OCS: on track to reach USD400mn OCS guide for 2H26E; strong demand to continue in 2027E

- **OCS has been doubled shipments from 3QFY26 to 4QFY26, and the management guided triple-digit OCS revenue growth for 1QFY27.**
- Management is tracking to the USD400mn OCS guide for 2H2026, having resolved earlier supply chain issues.
- The **demand signal for 2027 continues to be incredibly strong**, according to the company, adding that it has started the initial work to add capacity with contract manufacturers, as well as continuing to increase output in its internal factories.
- LITE is now planning higher and lower port count products, including specialized in-tray offerings.

Appendix A-1

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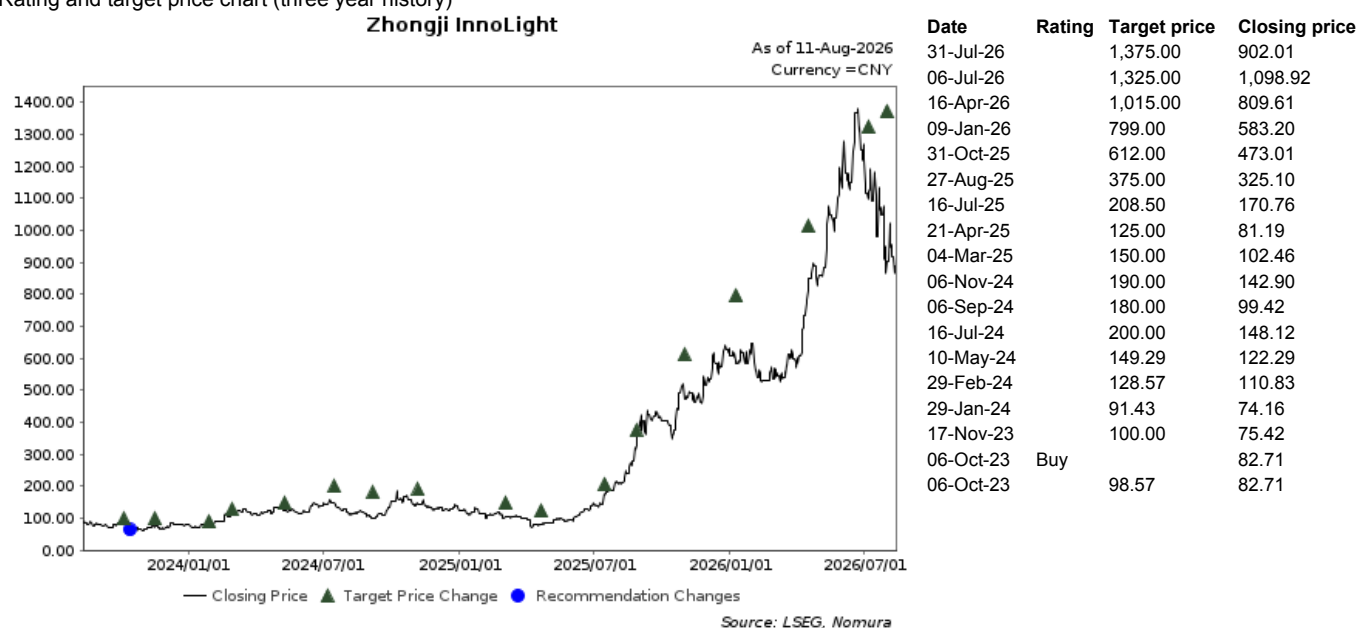
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Zhongji InnoLight	300308 CH	CNY 886.96	11-Aug-2026	Buy	N/A	
Suzhou TFC Optical Communication	300394 CH	CNY 222.49	11-Aug-2026	Buy	N/A	
Yuanjie Semiconductor Technology	688498 CH	CNY 1,351.00	11-Aug-2026	Neutral	N/A	

Zhongji InnoLight (300308 CH)

CNY 886.96 (11-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



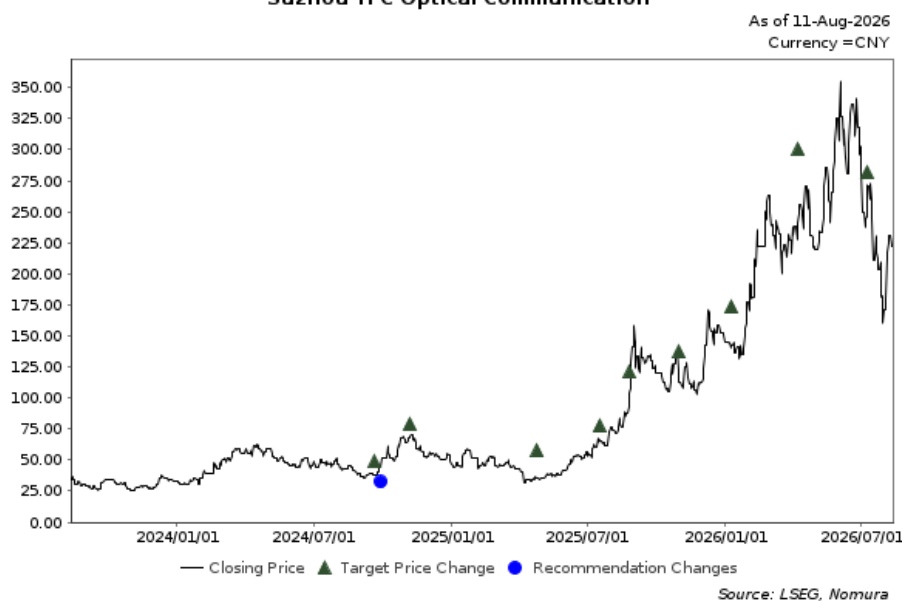
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Valuation Methodology Our TP of HKD1,375.00 is based on 21x 2027F EPS of CNY65.47, in line with its A-share historical median P/E. The benchmark index is Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks: 1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; 2) fierce competition in the 400G and 800G optical modules segments; 3) slower-than-expected product upgrades (i.e., 800G, 1.6T); and 4) escalated price war which may affect company's export to global customers.

Suzhou TFC Optical Communication (300394 CH)**CNY 222.49 (11-Aug-2026) Buy (Sector rating: N/A)**

Rating and target price chart (three year history)

Suzhou TFC Optical Communication

Date	Rating	Target price	Closing price
09-Jul-26		282.00	271.50
08-Apr-26		300.51	240.72
09-Jan-26		173.87	142.14
31-Oct-25		137.38	112.86
26-Aug-25		120.92	103.41
17-Jul-25		77.99	66.27
25-Apr-25		58.07	35.84
06-Nov-24		79.66	67.61
20-Sep-24	Buy		37.45
20-Sep-24		48.82	37.45

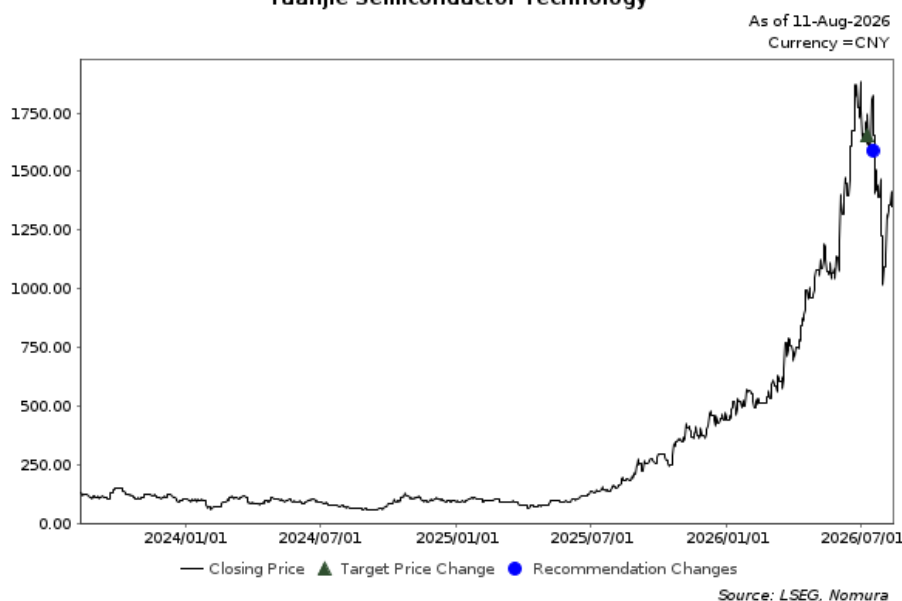
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Valuation Methodology Our TP of CNY282.00 is based on 50x 2026F EPS of CNY5.63, in line with WIND China A share CPO sector median P/E. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include: (1) weaker-than-expected demand for optical component/module market; (2) technology changes in optical communication market which dampens company's competitiveness; (3) top customer's change of strategy or supply chain diversification; and (4) geopolitical risks.

Yuanjie Semiconductor Technology (688498 CH)**CNY 1,351.00 (11-Aug-2026) Neutral (Sector rating: N/A)**

Rating and target price chart (three year history)

Yuanjie Semiconductor Technology

Date	Rating	Target price	Closing price
08-Jul-26	Neutral		1,617.00
08-Jul-26		1,655.00	1,617.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY1,655.00 is based on 65x 2028F EPS of CNY25.47, in line with WIND China A share optical laser sector median P/E. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include: (1) weaker-than-expected demand for optical transceiver market; (2) weaker-than-expected NPO / CPO penetration; (3) top customer's supply chain diversification; and (4) geopolitical risks. Upside risks include: (1) stronger-than-expected orders from global optical transceiver manufacturers; and (2) faster-than-expected expansion of production capacity.

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